

ANNOUNCEMENT OF RESULTS FOR THE YEAR ENDED 30th SEPTEMBER 2014 (Audited)

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME						Group 30.09.2014 Ksh '000	30.09.2013 Ksh '000	Company 30.09.2014 Ksh '000	30.09.2013 Ksh '000	
REVENUE						2,762,547	2,816,834	723,432	478,897	
(Losses)/Gains arising from changes in fair value of biological assets less cost to sell						(50,200)	(31,518)	379,098	96,017	
RESULTS FROM OPERATING ACTIVITIES						87,331	144,730	467,164	100,327	
Finance income						2,199	20,308	1,001	18,757	
Finance costs						(27,737)	(6,631)	(25,442)	(5,330)	
PROFIT BEFORE TAX						61,793	158,407	442,723	113,754	
TAXATION (CHARGE)/CREDIT						(16,372)	(66,718)	(136,542)	(39,792)	
PROFIT / (LOSSES) FOR THE YEAR						45,421	91,689	306,181	73,962	
OTHER COMPREHENSIVE INCOME										
Reversal of revaluation gain-net of tax.						5,674,530	(38,074)	4,409,658	(36,856)	
Remeasurement of post employee benefits						18,106	-	1,714	-	
TOTAL COMPREHENSIVE INCOME(LOSS)						5,738,057	53,615	4,717,553	37,106	
NON CONTROLLING INTEREST						(142,093)	31,015	-	-	
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO MEMBERS						5,595,964	84,630	4,717,553	37,106	
Profit attributable to: Owners of the Company						23,657	122,704	306,181	73,962	
Non-controlling interest						21,764	(31,015)	-	-	
						45,421	91,689	306,181	73,962	
Profit attributable to owners of company made up as follows:										
PROFIT/(LOSS) ARISING FROM OPERATING ACTIVITIES						85,476	126,832	40,812	6,750	
FAIR VALUE (LOSS)/GAINS ON BIOLOGICAL ASSETS AFTER TAX						(61,819)	(4,128)	265,369	67,212	
						23,657	122,704	306,181	73,962	
EARNINGS PER SHARE (KSHS) ON OPERATING ACTIVITIES						0.37	0.56	0.18	0.03	
(LOSS)/EARNINGS PER SHARE (KSHS) ON BIOLOGICAL ASSETS						(0.27)	(0.02)	1.16	0.29	
EARNINGS PER SHARE (KSHS)						0.10	0.54	1.34	0.32	
ISSUED AND FULLY PAID SHARES OF KSHS 1 EACH						228,055	228,055	228,055	228,055	
DIVIDEND PER SHARE (KSHS)						0.25	0.25	0.25	0.25	
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY										
		Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserve Ksh '000	Retained Earnings Ksh '000	Biological Assets Fair Value Ksh '000	Proposed Dividends Ksh '000	Non- Controlling Interest Ksh '000	Total Equity Ksh '000
At 1 October 2012										
228,055 98,530 1,891,423 - 1,182,809 2,835,840 57,014 133,131 6,426,802										
Total comprehensive income for the year										
Profit for the year										
Appropriation of losses on biological assets										
Reversal of revaluation gain										
Deferred tax on revaluation reversed										
Excess depreciation on revaluation										
Deferred tax on revaluation										
Total comprehensive income for the year										
Transactions with owners of the company recorded directly in equity										
Reclassification from non-controlling interest										
Final dividend for 2012 paid										
Interim 2013 dividends paid										
Total distribution to owners of the company										
At 30 September 2013										
228,055 98,530 1,815,574 - 1,309,162 2,831,712 - 99,878 6,382,911										
At 1 October 2013										
228,055 98,530 1,815,574 - 1,309,162 2,831,712 - 99,878 6,382,911										
Total comprehensive income for the year										
Profit for the year										
Appropriation of losses on biological assets										
Revaluation gain										
Deferred tax on revaluation										
Remeasurement of post employment benefit net of tax										
Excess depreciation on revaluation										
Deferred tax on revaluation										
Total comprehensive income for the year										
Transactions with owners of the company recorded directly in equity										
Reclassifications to non-controlling interest										
Proposed final dividend for 2014										
Total distribution to owners of the company										
At 30 September 2014										
228,055 98,530 7,337,072 17,954 1,370,695 2,769,893 57,014 241,755 12,120,968										
COMPANY STATEMENT OF CHANGES IN EQUITY										
		Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserve Ksh '000	Retained Earnings Ksh '000	Biological Assets Fair Value Ksh '000	Proposed Dividends Ksh '000	Non- Controlling Interest Ksh '000	Total Equity Ksh '000
At 1 October 2012										
228,055 40,594 1,158,925 - 381,232 914,528 57,014 - 2,780,348										
Total comprehensive income for the year										
Profit for the year										
Appropriation of fair value losses on biological assets										
Reversal of revaluation gain										
Deferred tax on revaluation reversed										
Excess depreciation on revaluation										
Deferred tax on revaluation										
Total comprehensive income for the year										
Transactions with owners of the company recorded directly in equity										
Final dividend for 2012 paid										
Interim 2013 dividends paid										
Total distribution to owners of the company										
At 30 September 2013										
228,055 40,594 1,109,899 - 348,353 981,741 - 2,708,642										
At 1 October 2013										
228,055 40,594 1,109,899 - 348,353 981,741 - 2,708,642										
Total comprehensive income for the year										
Profit for the year										
Appropriation of losses on biological assets										
Revaluation gain										
Deferred tax on revaluation										
Remeasurement of post employment benefit										
Deferred tax on remeasurement of post employment benefit										
Excess depreciation on revaluation										
Deferred tax on revaluation										
Total comprehensive income for the year										
Transactions with owners of the company recorded directly in equity										
Proposed fina 2014 dividend										
Total distribution to owners of the company										
At 30 September 2014										
228,055 40,594 5,508,889 1,714 342,820 1,247,109 57,014 - 7,426,195										

CONSOLIDATED STATEMENT OF FINANCIAL POSITION	Group 30.09.2014 Ksh '000	30.09.2013 Ksh '000	Company 30.09.2014 Ksh '000	30.09.2013 Ksh '000
ASSETS				
NON-CURRENT ASSETS				
Property, plant and equipment	8,362,361	2,343,387	5,812,692	1,430,257
Capital work-in-progress	29,678	39,934	-	-
Intangible assets	8,210	11,686	6,330	3,565
Biological assets	5,240,576	5,290,774	1,942,322	1,563,222
Prepaid leases - leasehold land	20,074	20,316	7,760	7,886
Available - for - sale financial assets	525	525	-	-
Deferred tax	23,070	52,699	-	-
Investments in subsidiary companies	-	-	172,697	172,697
	13,684,494	7,759,321	7,941,801	3,177,627
CURRENT ASSETS				
Inventories	318,063	370,264	78,192	49,120
Trade and Other receivables	582,494	518,334	292,425	234,541
Amounts due from related companies	1,198	1,092	251,535	222,697
Taxation recoverables	17,463	129,991	-	48,873
Cash and cash equivalents	325,865	275,364	144,813	203,695
	1,245,083	1,295,054	766,965	758,926
TOTAL ASSETS	14,929,577	9,054,366	8,708,766	3,936,553
EQUITY AND LIABILITIES				
Capital and reserves				
Share Capital	228,055	228,055	228,055	228,055
Non - Distributable Reserves	10,223,449	4,745,816	6,808,975	2,132,234
Distributable Reserves	1,427,709	1,309,162	389,165	348,353
	11,879,213	6,283,033	7,426,195	2,708,642
Non- controlling interest	241,755	99,878	-	-
Total equity	12,120,968	6,382,911	7,426,195	2,708,642
Non- current liabilities				
Deferred tax liability	2,003,249	1,678,365	638,246	543,258
Post employment benefits	270,520	261,841	21,094	18,496
	2,273,769	1,940,206	659,340	561,754
Current liabilities				
Bank loans	-	175,491	-	175,491
Post employment benefits	10,373	19,070	-	969
Amounts due to related companies	681	-	357,805	246,631
Trade and Other Payables	522,368	536,688	264,008	243,066
Tax payable	1,418	-	1,418	-
	534,840	731,249	623,231	666,157
TOTAL EQUITY AND LIABILITIES	14,929,577	9,054,366	8,708,766	3,936,553
CONSOLIDATED STATEMENT OF CASH FLOW OPERATING ACTIVITIES				
Cash Flow Generated from Operations	338,435	459,957	183,763	219,812
Income Taxes Paid	(9,022)	(271,296)	(5,387)	(82,700)
Net cash flows (used in) generated from operating activities	329,413	188,661	178,376	137,112
INVESTING ACTIVITIES				
Purchase of Property, plant and equipment	(66,753)	(211,243)	(17,685)	(26,581)
Purchase of Intangible Assets	(8,312)	(1,210)	(8,175)	(148)
Capital Work - in - progress	10,256	(2,057)	-	-
Interest income	2,199	1,639	1,001	7
Proceeds on sale of property, plant and equipment	905	22,306	905	19,123
Net cash flow used in investing activities	(61,705)	(190,564)	(23,954)	(7,599)
FINANCING ACTIVITIES				
Interest paid	(27,737)	(4,651)	(25,443)	(4,618)
Proceeds from bank loan	(175,491)	175,491	-	175,491
Loans repayments	-	(55,703)	(175,491)	(55,703)
Dividend received from Subsidiary company	-	-	-	-
Dividend paid on ordinary shares	-	(114,028)	-	(114,028)
Net cash flow used in financing activities	(203,228)	1,109	(200,934)	1,142
Net (Decrease) /Increase in Cash and cash equivalents	64,480	(794)	(46,512)	130,655
Cash and cash equivalents at the beginning of the year	275,364	268,481	203,695	65,282
Net unrealised foreign exchange (loss)/gain	(13,979)	7,677	(12,370)	7,758
Cash and cash equivalents at the end of the year	325,865	275,364	144,813	203,695

COMMENTS ON THE AUDITED RESULTS FOR THE YEAR ENDED 30TH SEPTEMBER, 2014

The results for the year ended 30th September, 2014 indicate a profit after tax from operating activities of Kshs. 85.476 million compared to Kshs. 126.832 million in the previous year.

The decrease in the profit is largely as a result of significantly lower prices of tea and lower production volumes of coffee in the year under review.

The decline of tea auction prices persisted throughout the year mainly due to over-supply in the industry, changing consumer trends, political instability in major tea export destination countries, slow economic growth in the Eurozone and aggressive expansion of Tea bushes in Vietnam which has grown her exports to Pakistan by 60% over the period under review. Good rains in the West of Rift sustained last year's tea production levels. Although the tea division met projected production levels, the price realization dropped sharply from last year's average of \$2.26 per Kg to \$1.82. This trend necessitated the announcement of the profit warning issued by the Company when announcing the unaudited six month results to 31 March 2014.

The poor rainfall in the East of Rift over the year adversely affected production volumes of coffee while increasing our cost of production through increased irrigation intervals. Coffee prices improved during the year following the poor performance of Brazilian coffee. However, results were weighed down by the reduced production volumes for the year due to poor rainfall.